Unit 2
Investment Planning

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Investment, Speculation and Gambling

- **Investment :**
  - Investment is the net addition to the nation's capital stock, according to economic theory. Investment is the financial term for allocating funds to assets with the intention of making money over time.
  - A person's savings flow into the capital market as financial investments, which are then utilised as economic investments. This is how investments work in both economic and financial terms.
- **Speculation**
  - Speculation refers to the act of buying, holding, or selling assets with the expectation of profiting from short-term price fluctuations rather than from the asset's underlying fundamentals or income generation.
  - Speculators aim to profit from changes in asset prices by buying low and selling high, but they typically do not have a long-term interest in holding the asset.
- **Gambling**
  - Gambling refers to the act of betting or wagering money or something of value on an event with an uncertain outcome, typically with the hope of winning more money or a prize.

Aspect	Investment	Speculation	Gambling
Purpose and Intent	Long-term wealth growth	Short-term profit	Entertainment or excitement
Risk vs. Reward	Balanced risk and reward	High risk, high reward	High risk, uncertain reward
Time Horizon	Longer-term	Short to medium-term	Very short-term
Expectation of Return	Positive, gradual	Positive or negative	Varied (often negative)
Typical Assets	Stocks, bonds, real estate	Stocks, currencies, commodities	Casino games, lotteries, sports betting
Risk Tolerance	Moderate	High	Varies (often high)
Holding Period	Longer-term	Short to medium-term	Very short-term

Characteristics of investment

- Financial assets or other items purchased with the hope of earning money or appreciating in value over time are referred to as investments. Investing qualities can differ depending on the sort of investment, however some typical features include:
- Return on Investment (ROI): Investments are typically made with the goal of generating a positive return, which can come in the form of capital appreciation, interest, dividends, or rental income. The potential ROI is a key consideration for investors.
- Risk: All investments carry some degree of risk, which refers to the possibility of losing part or all of the invested capital. Different types of investments have varying levels of risk, and investors often balance risk with potential reward based on their risk tolerance.
- Liquidity: How quickly an investment may be converted into cash without suffering a major loss in value is referred to as liquidity. While some investments, such as equities and bonds, can be sold on the open market rapidly, others, such as real estate or private equity, may have less market liquidity.Time Horizon: Investments can have short, medium, or long-term time horizons. Some investors may have a short-term focus and aim for quick gains, while others have a longer-term perspective and are willing to hold investments for many years.
- Diversification: To lower risk, investments are diversified among a variety of industries, geographic locations, and asset classes. It aids in reducing the effects of subpar performance in any one investment.
- Yield or Income: Some investments, like bonds or dividend-paying stocks, provide a regular stream of income in the form of interest or dividends. This income can be an important consideration for income-focused investors.
- Tax Implications: The tax treatment of investments can vary depending on factors like the type of investment, holding period, and local tax laws. Understanding the tax implications of investments is crucial for effective tax planning.

Types/Alternatives/Avenues/Modes of Investment

Investment alternatives refer to a broad range of choices that both individuals and institutions have when deciding how to use their resources in order to generate returns or accomplish particular financial goals.

1. Preference Share
2. Debentures
3. Government Securities
4. Equity Shares
5. Money Market Instruments
6. Bank Deposits
7. Post Office Schemes
8. Mutual funds
9. LIC
10. Gold, Silver and Diamond
11. Real Estate

Preference Shares

A hybrid security, preference shares. They share traits with **both bonds and equity shares**. Like bonds, preference dividends have specific terms. This is necessary because they get **dividends before equity shares**. Due to their predetermined payouts and the requirement that all arrears be paid before equity holders receive dividends, preference shares are less riskier than stock. However, because bonds have preference in payment and liquidation, they are riskier than bonds.

- Characteristics of Preference Shares :The preference shares' key characteristics are as follows:
  1. **Maturity period:** Unless they are redeemable preference shares, preference shares typically have no specified maturity period. Preference shares are only redeemable at a company's liquidation.
  2. **Remaining income claims:** Preferential stockholders have a lingering income claim. The preferred stockholders are entitled to a fixed rate of dividend.
  3. **Remaining claims on assets:** At the moment of liquidation, the preference shareholders receive first preference. If there are any extra assets, they should be given to equity shareholders.
  4. **Management Control**: Preference shareholders do not have voting privileges. As a result, they are unable to influence how the company is run.

Debenture

A document that the corporation issues is called a debenture. It is an official document that the business issues bearing its seal to acknowledge a debt. The Companies Act of 1956 states that a "debenture includes debenture stock, bonds and any other securities of a company, whether constituting a charge of the assets of the company or not."

- **Features of Debentures**
  1. **Maturity period:** Long-term fixed maturity periods are a feature of debt obligations. Debentures typically have a maturity length of 10 to 20 years and are repayable with the principal investment at the end of the period.
  2. **Remaining claims on income:** Holders of debt obligations are entitled to receive a fixed rate of interest at the conclusion of each accounting period. Debenture holders have precedence over equity and preference shareholders in their claims to the company's income.
  3. **Residual claims on assets:** Equity and preference shareholders are subordinate to debt holders in terms of claims on the company's assets. The holders of the debt instruments may request either a fixed change in the company's assets or a floating adjustment. Debenture holders who own specific changes are regarded as secured creditors, whereas those who hold floating changes are regarded as unsecured creditors.
  4. **No voting privileges:** Holders of debt obligations are regarded as the company's creditors. Therefore, they are not allowed to vote. Holders of debt instruments are unable to influence how a company operates.
  5. **Fixed rate of interest:** Until the maturity period, debt obligations pay a fixed rate of interest. Therefore, the operation won't have an impact on the debenture's yield.

Government Securities

The Reserve Bank of India (RBI) issues sovereign securities known as "government securities" or "gilts" on behalf of the Government of India (GOI). These funds are used by the GOI to fulfill its spending commitments.

- Advantages of investing in government securities
  - **Safety and Security:** One of the safest forms of investment is government securities, which are generally accepted. They have a very low default risk because they are backed by the government's full faith and credit. Conservative investors wishing to protect their investment are particularly drawn to this safeguard.
  - **Consistent Income:** Through regular interest payments, government securities often offer a predictable and consistent stream of income. Government bond interest rates are frequently competitive and occasionally better than those provided by other fixed-income assets.
  - **Diversification:** Including government securities in a portfolio of investments can increase diversification. They frequently have low or negative correlations with other asset classes, like as stocks, so they can assist a portfolio remain stable when the market is volatile.
  - **Liquidity:** In general, government securities are quite liquid, making it simple to buy or sell them on the secondary market. Due to the liquidity, investors can use their money whenever they need to without experiencing substantial price changes.
  - **Tax Benefits:** A lot of government securities come with tax benefits. For instance, state and local income taxes are not applied to interest income from U.S. Treasury securities. Municipal bonds and other types of government bonds may also provide interest income that is federal tax-free.

Equity Shares

- Other than preference shares, equity shares are sometimes referred to as ordinary shares. The actual proprietors of the business are equity stockholders. They have some influence over how the business is run. If the company makes money, dividends can be paid to equity investors. In the course of the company's existence, equity share capital cannot be redeemed. The unpaid share value represents the equity stockholders' liabilities.
- **Features of Equity Shares**
  - **Shares' Maturity:** Equity shares are permanent in nature and have no set Maturity Period. It is not redeemable while the company is still in existence.
  - **Residual claim on revenue:** Equity owners are entitled to any income that remains after paying preference shareholders a specified rate of dividend. The profit after tax less the preference dividend is the earnings or income that is accessible to the shareholders.
  - **Remaining claims on assets:** If the firm was dissolved, the remaining claims on assets would go to the equity or common shareholders. Only equity shareholders are granted access to these privileges.
  - **Right to control:** The true owners of the corporation are the equity shareholders. As a result, they have the authority to decide everything related to how the firm is run and to govern the company's management.
  - **Voting rights:** Equity shareholders have the ability to amend or repeal any business decision at a meeting of the company by using their voting rights. Equity shareholders only have voting rights at company meetings, but they can designate a proxy to attend and cast a vote on their behalf.
  - **Preemptive rights:** for equity shareholders are number six. The legal right of the current shareholders is the pre-emptive right. The corporation attests to its commitment to buy more equity shares at the first available opportunity in a proportional amount to their current holdings.
  - **Limited liability:** Equity shareholders' exposure is restricted to the price of the shares they have purchased. In the event that the shareholders have fully paid their shares, they are not liable.

Money Market Instruments

The market where short-term funds are borrowed and lent is known as a money market. Trade bills, promissory notes, and government papers that are drawn for brief durations are the only assets traded on the money market instead of actual cash or money. The term "near money" refers to these short-term bills. A section of the financial market where short-term borrowing and lending of money takes place is referred to as the money market.

Types of Money Market Instruments : The major short-term credit instruments dealt with in a money market include:

1. **Trade Bills:** These are bills of exchange that result from legitimate business dealings. Both domestic and international bills are included.
2. **Banker's Acceptance:** These are bills of exchange that commercial banks have accepted on their clients' behalf. A bill becomes more creditworthy because a reputable bank accepts it, which makes it more readily negotiable.
3. **Short-dated Government Securities:** These are government-issued securities with short maturities. Sometimes, long-term government securities that are about to mature are categorized under this heading.
4. **Commercial Papers:** Large, highly creditworthy corporations issue these short-term, unsecured instruments. RBI controls commercial documents.

Bank Deposit

A bank deposit is when money is put into a bank account, usually one that is kept at a commercial bank or another financial organization. It is among the most popular and simple ways for people and businesses to protect their money, earn interest, and use different banking services. The following are significant features of bank deposits:

- **Types of Bank Deposits:**
  - **Savings Account:** A savings account is designed for storing funds while earning a modest amount of interest. Withdrawals can be made, but there may be limits and fees associated with excessive withdrawals.
  - **Fixed Deposit Account:** Similar to CDs, fixed deposit accounts require customers to deposit a lump sum for a fixed term at a predetermined interest rate. Early withdrawals may result in penalties.
- **Benefits of Bank Deposits:**
  - **Safety:** Government-backed schemes like the Federal Deposit Insurance Corporation (FDIC) in the United States often protect bank deposits up to a specified amount. Even in the event that the bank experiences financial difficulties, this insurance ensures that depositors won't lose their money.
  - **Liquidity:** Depending on the type of account, bank deposits offer varying degrees of liquidity. Checking accounts provide immediate access to funds, while CDs and fixed deposits have fixed terms.
  - **Interest Earnings:** Savings accounts, money market accounts, CDs, and fixed deposits provide interest earnings on deposited funds. This can help grow savings over time.
  - **Convenience:** Bank deposits allow for easy management of financial transactions, bill payments, and electronic transfers. They also provide account holders with statements and records of their financial activities.

Post Office Schemes

Post office schemes are a range of financial and savings products offered by postal departments in many countries. These schemes are designed to provide safe and accessible savings and investment options to individuals, especially those in rural and remote areas. Each country's postal department may offer different types of post office schemes with varying features. Here are some common post office schemes:

1. Savings Account:
2. Recurring Deposit Account (RD):
3. Fixed Deposit Account (FD):
4. Monthly Income Scheme (MIS):
5. Public Provident Fund (PPF):
6. Senior Citizens Savings Scheme (SCSS):
7. National Savings Certificates (NSC):

Mutual Funds

Mutual funds are investment vehicles that pool capital from a number of individuals to invest in a variety of securities, including stocks, bonds, money market instruments, and other assets. They are run by qualified fund managers who choose investments on behalf of the fund's shareholders. An easy and accessible option for people to diversify their investments across different asset classes is through mutual funds. Here are some essential characteristics and ideas about mutual funds:

- Diversification: Diversification is one of the main advantages of mutual funds. An investor can receive exposure to a variety of securities by participating in a mutual fund, which lowers the risk involved with buying individual stocks or bonds.
- Professional Management: Skilled fund managers who have expertise managing mutual funds make investment choices depending on the goals of the fund. These managers carry out research, choose investments, and modify the portfolio to achieve the objectives of the fund.
- Diverse Fund Types: investment can be done in Equity Funds bonds, such as corporate, municipal, and government bonds, Money Market Funds, Index Funds, Sector Funds etc.
- Net Asset Value (NAV): A mutual fund's NAV is the market value of all of the fund's assets divided by the fund's liabilities. It is calculated at the conclusion of every trading day and is used to establish the prices for buying and selling fund shares.
- Liquidity: Mutual fund shares are often redeemable at their NAV on any business day, giving investors access to liquidity.
- Risk: Despite providing diversity, mutual funds are vulnerable to market risks. The fund's holdings' value might change, and previous performance is no guarantee of future success.
- Tax Considerations: When mutual funds buy or sell securities, investors may be subject to capital gains taxes. Tax payments may be reduced with the use of tax-efficient investments and tax-advantaged accounts.
- Investment Goals: Mutual funds have predetermined investment goals, such as growth, income, or a mix of both. Investors should select funds based on their risk appetite and financial objectives.

LIC

- Life Insurance Corporation of India (LIC) stands for *Life Insurance Corporation of India*. Its corporate headquarters are located in Mumbai, India. LIC is a government-owned insurance and investment company and is one of the largest life insurance organizations in the world. It plays a major role in the Indian insurance and financial services sector.
- LIC is not only an insurance provider but also a **long-term savings and investment instrument**. It combines financial protection with wealth accumulation.
- **Key Features:**
  - **Life Coverage (Risk Protection):** LIC policies provide financial security to the policyholder’s family in case of an unfortunate event. The nominee receives the sum assured.
  - **Savings & Investment Component:** Many LIC policies (such as endowment plans and money-back plans) offer maturity benefits along with bonuses, helping individuals build a disciplined savings habit.
  - **Guaranteed Returns:** Certain LIC policies offer guaranteed returns, making them suitable for conservative investors who prefer low risk.
  - **Bonus Facility:** LIC declares bonuses depending on its profits, which are added to traditional participating policies.
  - **Tax Benefits:1)** Premiums paid are eligible for deduction under Section 80C of the Income Tax Act (subject to limits). 2) Maturity benefits may be tax-free under Section 10(10D), subject to conditions.
  - **Loan Facility:** Policyholders can avail loans against certain LIC policies after a specified period.
  - **Long-Term Financial Planning:** LIC policies help in planning for retirement, children’s education, marriage expenses, and wealth creation.
- Advantages: 1) Government-backed security, 2) Low risk compared to equity investments, 3) Encourages disciplined long-term savings, and 4) Suitable for risk-averse investors
- Limitations: 1) Returns may be lower compared to mutual funds or direct equity, 2) Long lock-in period and 3) Limited liquidity

Gold, Silver and Diamond

- Gold, Silver, and Diamond are precious assets considered alternative investment avenues. They are mainly used for wealth preservation, diversification, and protection against inflation.
- **Gold**
  - Safe-haven asset during economic uncertainty
  - Hedge against inflation
  - Highly liquid and globally accepted
  - Available as physical gold, Sovereign Gold Bonds, digital gold
  - Does not generate regular income (except SGBs)
- **Silver**
  - Precious + industrial metal (used in electronics, solar, etc.)
  - More affordable than gold
  - Higher price volatility
  - Suitable for diversification
  - Returns depend on industrial demand
- **Diamond**
  - Value based on 4 Cs: Cut, Clarity, Color, Carat
  - High value in small size
  - Durable and rare
  - Limited liquidity and resale transparency
  - No regular income generation
- **Key Benefits: 1)** Inflation hedge, 2) Portfolio diversification 3) Tangible asset
- **Limitations:1)** No fixed returns, 2) Price fluctuations, 3) Storage and resale challenges

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Objectives of Investment

Investment refers to the commitment of funds to one or more assets with the expectation of earning returns over time. Every individual invests with specific objectives in mind. These objectives may vary depending on age, income, risk appetite, and financial goals. The main objectives of investment are:

1. **Safety of Principal:** Safety means protection of the original amount invested. Many investors prefer secure investment avenues where the risk of loss is minimal. Example: Bank deposits, government securities.
2. **2. Regular Income:** Some investors aim to earn a steady and regular income from their investments. Example: Interest from bonds, dividends from shares, rental income from property.
3. **3. Capital Appreciation (Growth):** The objective here is to increase the value of the invested amount over time. Investors accept moderate to high risk in expectation of higher returns. Example: Equity shares, mutual funds, real estate.

Objectives of Investment Contd.

4. **Liquidity:** Liquidity refers to the ease with which an investment can be converted into cash without significant loss in value. Investors often keep part of their funds in liquid assets to meet emergencies.
5. **Tax Benefits:** Certain investments provide tax advantages under income tax laws. Investors may choose such instruments to reduce tax liability while earning returns.
6. **Hedge Against Inflation:** Inflation reduces the purchasing power of money. Investment helps protect wealth by earning returns that exceed the inflation rate.
7. **Retirement Planning:** Investment helps accumulate sufficient funds to maintain lifestyle after retirement when regular income stops.
8. **Wealth Creation:** Long-term investments help in building wealth and achieving major life goals such as buying a house, children's education, or business expansion.

Process of Investment

The investment process is a systematic approach to selecting and managing investment alternatives to achieve financial objectives. The main steps are:

Step 1: Setting Investment Objectives

- The investor defines clear financial goals (short-term and long-term), such as buying a car, funding education, or retirement planning.

Step 2: Assessing Risk Profile

- The investor evaluates:
  - Risk tolerance
  - Time horizon
  - Income stability
  - Financial obligations
  - This helps in choosing suitable investment avenues.

Step 3: Asset Allocation

- Funds are distributed among different asset classes such as:
  - Equity
  - Debt
  - Real estate
  - Gold
  - Cash equivalents
- Asset allocation helps in balancing risk and return.

Process of Investment Contd.

Step 4: Selection of Investment Alternatives

- Specific securities or investment instruments are selected based on:
  - Expected return
  - Risk level
  - Liquidity
  - Tax implications

Step 5: Portfolio Construction

- A diversified portfolio is created to minimize risk and maximize returns.

Step 6: Monitoring and Review

- Investments are regularly reviewed to:
  - Check performance
  - Adjust asset allocation
  - Rebalance portfolio if required
  - Respond to market changes

Step 7: Revision of Portfolio

- Changes are made according to:
  - Changes in financial goals
  - Market conditions
  - Income changes
  - Risk tolerance changes